IN THE UNITED STATES DISTRICT COURT
FOR THE EASTERN DISTRICT OF NORTH CAROLINA
SOUTHERN DIVISION

No. 5:26-CV-320-D-RN

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| PAMELA DENISE JOHNSON,<br>Plaintiff<br><br>v.<br><br>CONSUMER PORTFOLIO SERVICES, INC.; PLATINUM PRE-OWNED, LLC; PRANCER CAPITAL CORP.; AMERICAN RECOVERY SERVICES; ERIE INSURANCE COMPANY; NC RECOVERY SERVICES, INC.; AMERICAN RECOVERY SERVICES, INC.,<br><br>Defendants. | ) | **DEFENDANT PLATINUM PRE-OWNED, LLC'S MEMORANDUM OF LAW IN SUPPORT OF ITS MOTION TO DISMISS** |

Defendant Platinum Pre-Owned, LLC ("Platinum") submits the following Memorandum of Law in support of its Motion to Dismiss Plaintiff's Second Amended Complaint under Rule 12(b)(2) and 12(b)(6) of the Federal Rules of Civil Procedure.

# INTRODUCTION

Plaintiff sued several defendants relating to a used car she purchased in Pennsylvania over four years ago.

Platinum is a used car dealership in Pennsylvania. Platinum sold Plaintiff a 2021 Mitsubishi Outlander in January 2022 from its Carlisle, Pennsylvania location. Plaintiff alleges that, at the time of the sale, Platinum (1) charged her for services that she did not authorize or receive, (2) did not provide her with certain required disclosures, (3) "coerced" Plaintiff to use a specific insurer for the vehicle, and (4) failed to accurately disclose the finance charge and annual percentage rate for the sale. The sale documents for the purchase (each of which includes

Plaintiff's signature) accurately reflect all of the charges that Plaintiff authorized for the transaction and show that Platinum provided her with the appropriate disclosures.

Platinum moves to dismiss Plaintiff's Second Amended Complaint against it for three reasons. First, this Court lacks personal jurisdiction over Platinum. Courts in North Carolina cannot constitutionally exercise personal jurisdiction over a Pennsylvania car dealership for claims based solely on its conduct in Pennsylvania. Second, Plaintiff's claims against Platinum are time-barred under their applicable limitations periods. Third, the Second Amended Complaint fails to state a claim against Platinum for which relief can be granted because the claims are contradicted by the contract documents and not plausibly alleged.

# STATEMENT OF FACTS RELEVANT TO MOTION

## A. Platinum Pre-Owned, LLC

Platinum is a used car dealership in Pennsylvania. Exhibit 1 (Affidavit of Jen Dorazio), p 1, ¶ 3. It has two locations: one in Carlisle, Pennsylvania and one in Mechanicsburg, Pennsylvania. Ex. 1, p 1, ¶ 4. Platinum does not have any locations in North Carolina and does not do business in North Carolina. Ex. 1, p 1, ¶¶ 4-5. All of Platinum's employees are located in Pennsylvania. Ex. 1, p 1, ¶ 6. The sale at issue in this case occurred at Platinum's Carlisle, Pennsylvania location. Ex. 1, pp 1-2, ¶ 7.

[1]Plaintiff alleges she purchased the vehicle in 2021, but the sales documents reflect that the sale occurred on January 8, 2022. Compare DE 15-1 (Second Amended Compl.), p 6, ¶ 1 with Exs. 2 (Buyer's Order), 3 (Retail Installment Sale Contract). This brief will use the later date because it is the date reflected in the signed contracts and is more favorable to Plaintiff on the limitations analysis below.

## B. Plaintiff's Vehicle Purchase and the Contract Documents

Plaintiff purchased a 2021 Mitsubishi Outlander from Platinum on January 8, 2022.[1] The Vehicle Buyer's Order for this sale is attached to this brief as Exhibit 2. The Retail Installment Sale Contract is attached as Exhibit 3. Platinum's address in the contract documents is its Carlisle, Pennsylvania location. Ex. 3, p 1. Plaintiff also listed a Carlisle, Pennsylvania address as her own address for the sale. Ex. 2, p 1; Ex. 3, p 1. The vehicle was registered to Plaintiff at her Carlisle, Pennsylvania address as part of the transaction. Exhibit 4 (Copy of Notarized Title), p 2.

As the contract documents reflect, the total cash price of the vehicle was $29,900.00. Ex. 2, p 1; Ex. 3, p 2. The transaction also included sales tax in the amount of $1,794.00 and certain fees totaling $1,463.00. Ex. 2, p 1; Ex. 3, p 2. Plaintiff signed each page of the contract documents disclosing these fees. Exs. 2, 3.

Both the Buyer's Order and Installment Contract also incorporated by reference the "Buyer's Guide" that is required by the Federal Trade Commission's Used Motor Vehicle Trade Regulation Rule, codified at 16 C.F.R. §§ 455.1 through 455.5. Specifically, the Buyer's Order states that the Used Car Buyer's Guide is "PART OF THE CONTRACT" and "OVERRIDES ANY CONTRARY PROVISIONS IN THE CONTRACT OF SALE." Ex. 2, p 1. A copy of the Buyer's Guide applicable to this vehicle that Plaintiff signed as part of the contract documents is attached to this brief as Exhibit 5.

In connection with her vehicle purchase, Plaintiff had the option to purchase GAP insurance and certain credit insurance. Ex. 3, p 2. Plaintiff elected to purchase GAP insurance but not credit insurance. *Id.* Plaintiff signed a GAP addendum purchasing optional GAP insurance for $1,000. Exhibit 6 (GAP Addendum). She signed the GAP addendum on the same day as she

signed the other contract documents. *See id.* By signing, she acknowledged that "This GAP Addendum is optional and will not be provided unless You sign below and pay the charges as shown above." *Id.*

## C. Plaintiff's Allegations Against Platinum

Plaintiff filed this lawsuit against Platinum and several other defendants, including defendants who were involved in credit reporting and vehicle repossession activities unrelated to Platinum's conduct.[2]

### 1. Personal Jurisdiction Allegations

Regarding personal jurisdiction, Plaintiff alleges generally, without any specific supporting factual allegations, that all defendants "purposefully directed business activities toward North Carolina residents" and "caused injury to Plaintiff within North Carolina." [DE 15-1, p 3, § D] Specifically as to Platinum, Plaintiff alleges that Platinum "engaged in financing, credit reporting, and insurance-related conduct that caused harm in North Carolina." [DE 15-1, p 3, § D] Plaintiff does not allege that any of Platinum's conduct alleged in her lawsuit occurred in North Carolina or was purposefully directed to North Carolina. [*See id.*] In fact, she admits that "the vehicle was purchased in Pennsylvania and remained registered in Pennsylvania throughout [her] ownership," that "the vehicle carried Pennsylvania tags and registration," "was insured through a Pennsylvania policy," and "underwent annual Pennsylvania inspection and emissions testing." [DE 15-1, p 4]

### 2. Claims Against Platinum

Plaintiff alleges that Platinum "engaged in a deceptive 'spot delivery' or 'yo-yo financing' scheme by allowing Plaintiff to take the vehicle home while falsely representing that

[2]The allegations described in this brief come from the Second Amended Complaint that Plaintiff filed on August 6, 2026.

financing had been approved." [DE 15-1, p 6, ¶ 2] She does not allege that the financing ultimately was not approved or that she was damaged in any way by her possession of the vehicle after the sale.

Plaintiff also alleges that Platinum failed to provide her with the required disclosures, including an odometer disclosure statement, the "the FTC Buyers Guide," a "Notice of Right to Rescind," a "written itemization of the amount financed," or a "written adverse action notice." [DE 15-1, p 6, ¶ 3] She claims that she should not have been charged a $34 "Notary/Messenger Fee" because she received no notarial services and that she did not authorized the $1,000 charge for GAP insurance. [DE 15-1, p 6, ¶¶ 4-5]

Plaintiff attempts to allege claims against Platinum violating the Truth in Lending Act (Count VIII), Unfair and Deceptive Trade Practices Act (N.C. Gen. Stat. § 75-1.1) (Count X), Pennsylvania UTPCPL (Unfair Trade Practices and Consumer Protection Law) (73 Pa. Stat. Ann. § 201-9.2) (Count XI), and negligence and negligent misrepresentation (Count XIII).

# ARGUMENT

**Standard of Review**

The party asserting jurisdiction has the burden of showing that personal jurisdiction is proper "by a preponderance of evidence." *E.g.*, *Grayson v. Anderson*, 816 F.3d 262, 268 (4th Cir. 2016); *accord Combs v. Bakker*, 886 F.2d 673, 676 (4th Cir. 1989). When reviewing a motion to dismiss for lack of personal jurisdiction, the Court may consider affidavits submitted by the parties. *E.g.*, *Grayson*, 816 F.3d at 268; *Combs*, 886 F.2d at 676.

To withstand a motion to dismiss under Rule 12(b)(6), "a complaint must contain sufficient factual matter, accepted as true, to state a claim to relief that is plausible on its face." *ACA Fin. Guar. Corp. v. City of Buena Vista, Virginia*, 917 F.3d 206, 212 (4th Cir. 2019) (quoting

*Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009)). "Labels, conclusions, recitation of a claim's elements, and naked assertions devoid of further factual enhancement will not suffice to meet the Rule 8 pleading standard." *Id.* (quoting *Iqbal*, 556 U.S. at 678).

# I. The Court Lacks Personal Jurisdiction Over Platinum.

Due Process under the United States Constitution requires that a defendant have sufficient ties to a forum before that forum's courts can exercise personal jurisdiction over the defendant. *E.g.*, *World-Wide Volkswagen Corp. v. Woodson*, 444 U.S. 286, 295 (1980); *International Shoe Co. v. Washington*, 326 U.S. 310, 320 (1945). Courts have recognized two types of personal jurisdiction: "general" jurisdiction and "specific" jurisdiction. *E.g.*, *Bristol-Myers Squibb Co. v. Superior Ct. of California, San Francisco Cnty.*, 137 S. Ct. 1773, 1779 (2017); *Goodyear Dunlop Tires Operations, S.A. v. Brown*, 564 U.S. 915, 919 (2011). General jurisdiction over a defendant is only appropriate when the defendant's "affiliations with the [forum] State are so 'continuous and systematic' as to render them essentially at home" there. *Goodyear*, 564 U.S. at 919 (citing *International Shoe*, 326 U.S. at 317).

## A. The Court Lacks General Jurisdiction Over Platinum.

Here, Plaintiff does not allege and could not allege sufficient facts to support general jurisdiction over Platinum. Plaintiff does not claim that Platinum is properly considered "at home" in North Carolina. Platinum is incorporated and headquartered in Pennsylvania, does not have any offices or employees in North Carolina, and does not do business in North Carolin. Ex. 1, p 2. As a result, Plaintiff could only show personal jurisdiction over Platinum through specific jurisdiction.

### B. The Court Lacks Specific Jurisdiction Over Platinum.

"A federal district court may only exercise personal jurisdiction over a foreign corporation if such jurisdiction is authorized by the long-arm statute of the state in which it sits and application of the long-arm statute is consistent with the due process clause of the Fourteenth Amendment." *Consulting Engineers Corp. v. Geometric Ltd.*, 561 F.3d 273, 277 (4th Cir. 2009).[3]

# CONCLUSION

The Court should dismiss Plaintiff's Complaint as against Platinum because (1) the Court lacks personal jurisdiction over Platinum, (2) Plaintiff's claims against Platinum are time-barred; and (3) Plaintiff's Second Amended Complaint fails to state a claim against Platinum.

This the 21st day of August, 2026.

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[3]Plaintiff does not point to a provision in North Carolina's long-arm statute that would support jurisdiction here. Even if they did, the statute cannot be construed to allow jurisdiction where the constitution would forbid it.

**CERTIFICATE OF SERVICE**

I hereby certify that I electronically filed the foregoing document with the Clerk of Court using the CM/ECF system, and that I served the pro se party listed below by U.S. Mail:

Pamela Denise Johnson
3361 Sunset Ave, Ste 748
Rocky Mount, NC 27804

This the 21st day of August, 2026.

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